

Global Strategy: Class #6

Political Risk, Institutional Voids, and Business Groups

McDonald's and Tata Group

Leandro “Leo” Pongeluppe

The Wharton School – Management Department

pongelup@wharton.upenn.edu / www.LeandroPongeluppe.com

TA: **Liz Sandoval Siman**

ems6@wharton.upenn.edu



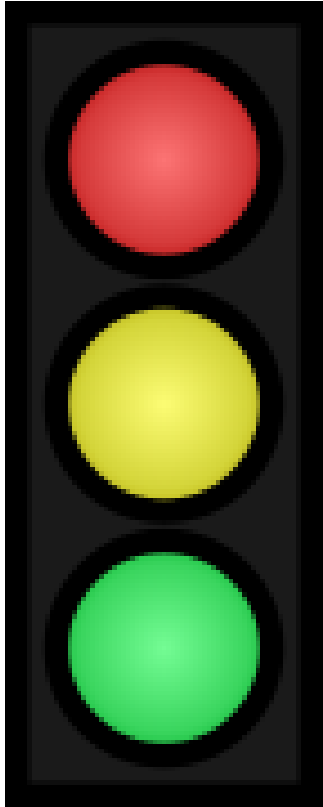
Last Class

- Where should we go? **AAA Framework.**
 - Combining different “As” is challenging. Walmart started with “Aggregation” and “Arbitrage,” but faced difficulties in “Adaptation” of its business model in other countries.
- How should we go? **Transaction Cost Economics (TCE) framework**
 - Incremental international expansions can minimize risks and allow a company to learn from prior experiences.
 - Transaction risks (contractual hazards) should be considered in the decision of which entry mode (governance structure) to use.
 - What about the country risks?

TODAY

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country Political Risk, Institutional Voids, and Business Groups

What We Are Trying to Solve in the Global Module

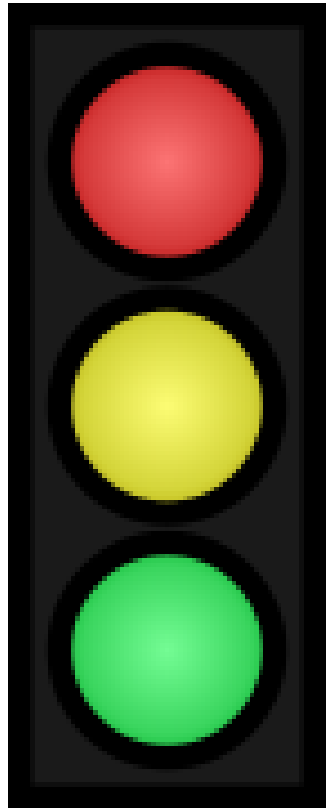


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Ferrero Group
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart
- McDonald's
- Tata Group
- Natura



MCDONALD'S



MCDONALD'S EXITING RUSSIA IS A BIG DEAL



**What are
“Institutional Voids”?**

**How about
“Political Risk”?**

Khanna & Palepu (2005)

“Strategies that Fit Emerging Markets,” *Harvard Business Review*.

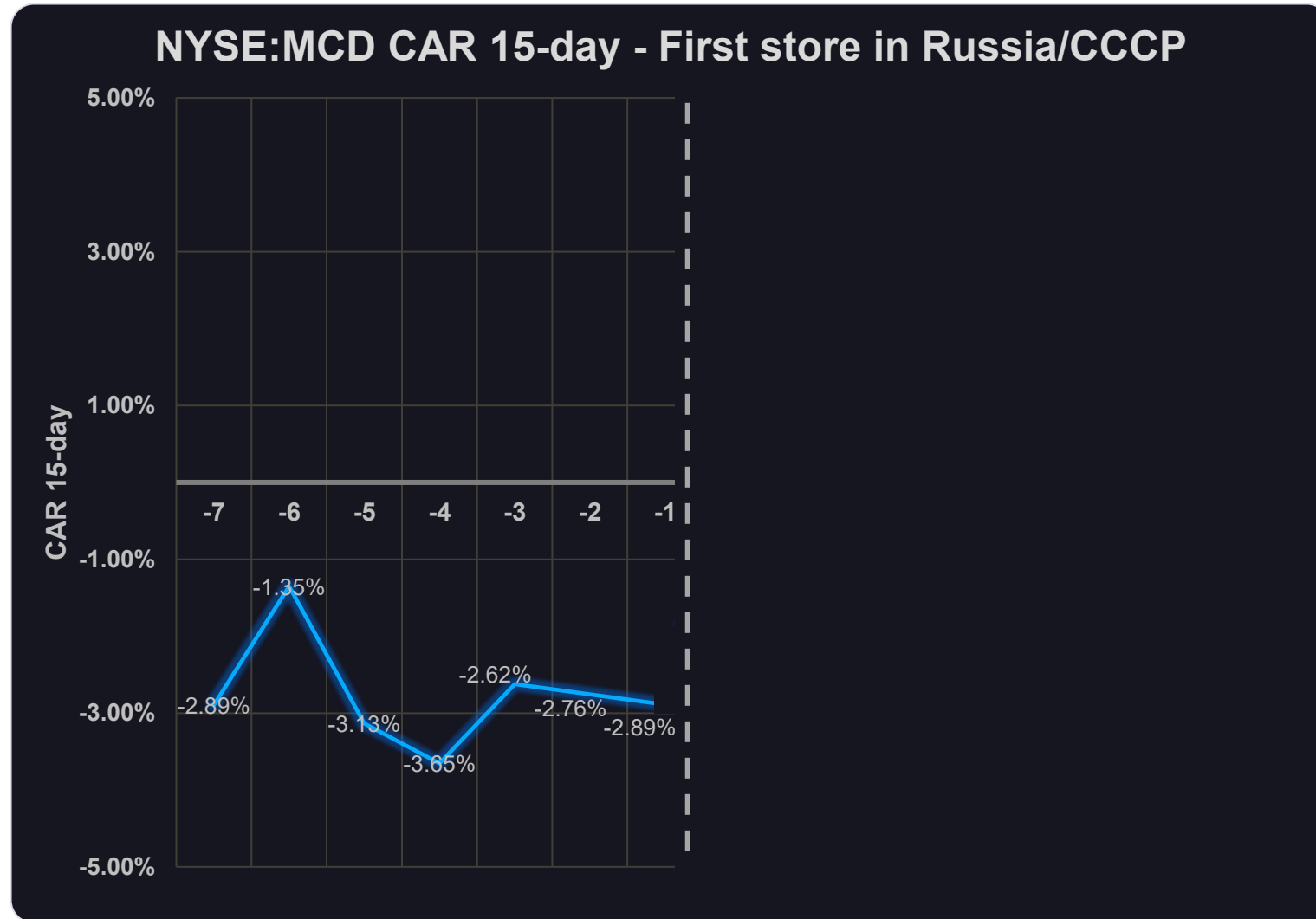
Henisz & Zelner (2010).

“The Hidden Risks in Emerging Markets” *Harvard Business Review*.



McDonald's in Russia (CCCP) – Dealing with “Institutional Voids”

1st McDonald's store in Russia (CCCP) on January 31st, 1990.



McDonald's in Russia (CCCP) – Dealing with “Institutional Voids”

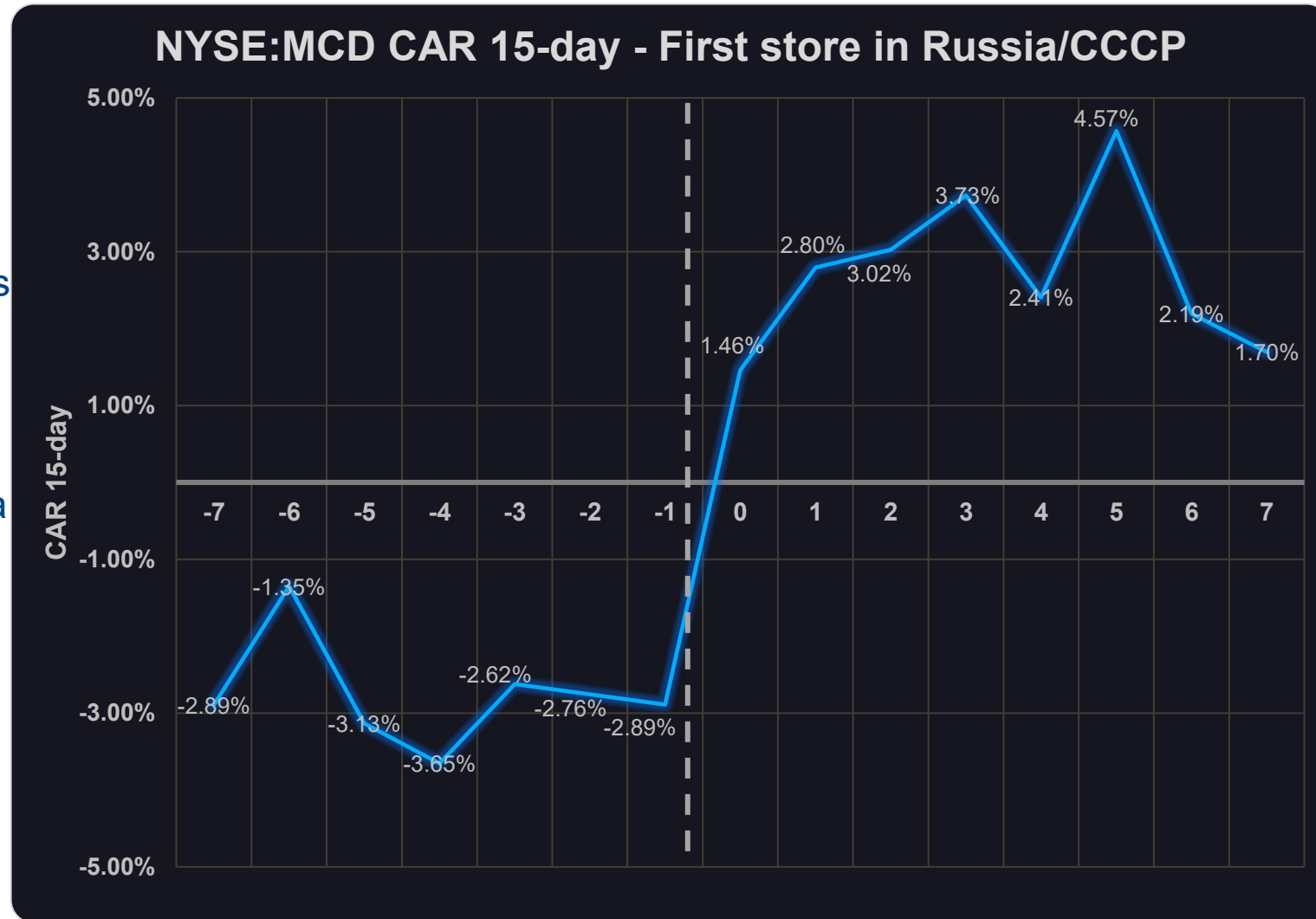
1st McDonald's store in Russia (CCCP) on January 31st, 1990.

NYSE: MCD CAR 15-day

- Average: **before -2.76%** vs. after 2.73%

Development of local institutions and business capabilities:

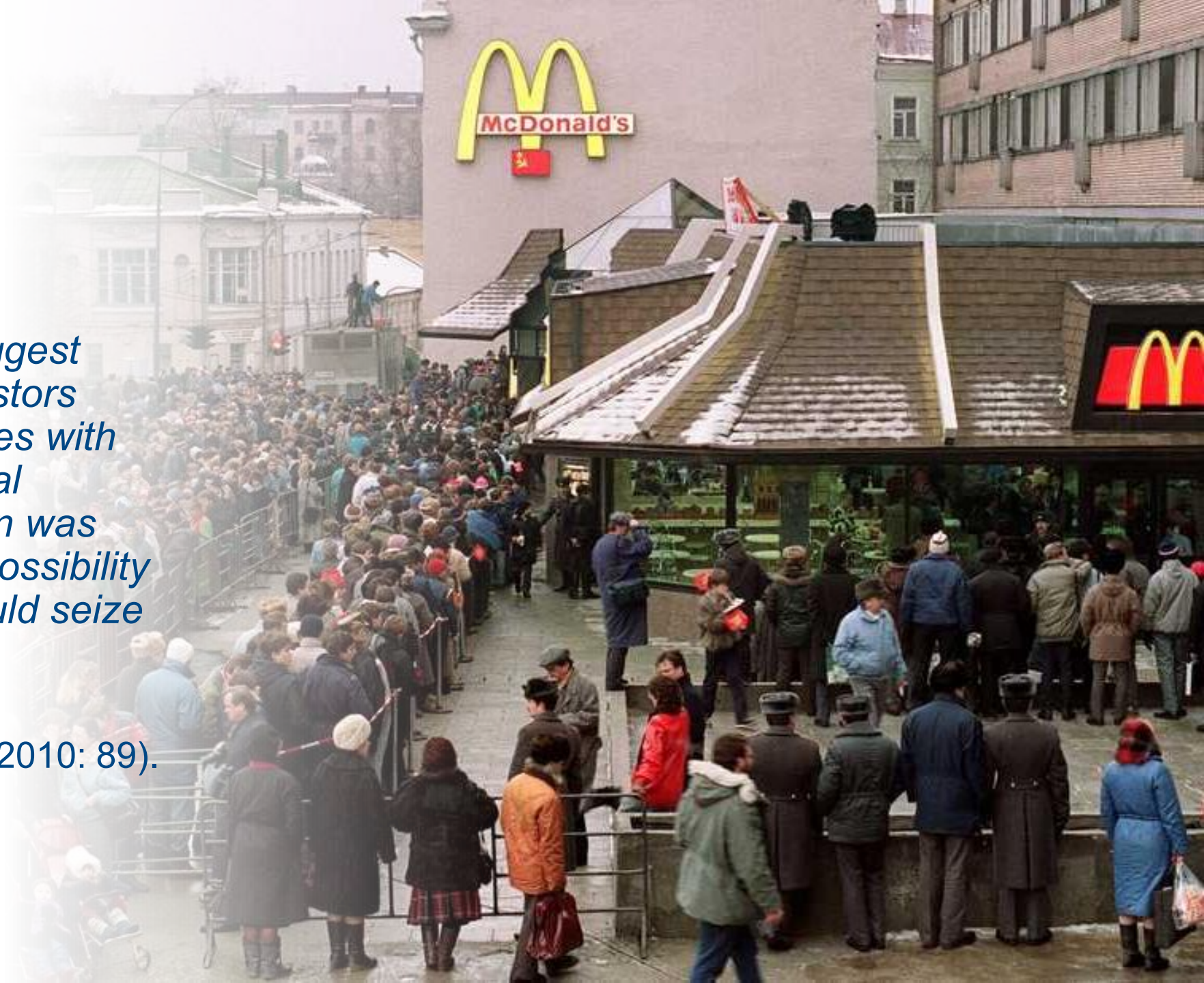
- Symbolism of Western values expansion
- Founding manager had previous internationalization experience in Canada
- Development of local supply chains to comply with McDonald's standards
- Human capital training of 62,000 employees
- 850 stores, of which 84% are vertically integrated (in 2022)
- 9% of McDonald's global revenue (in 2022)



Political Risk

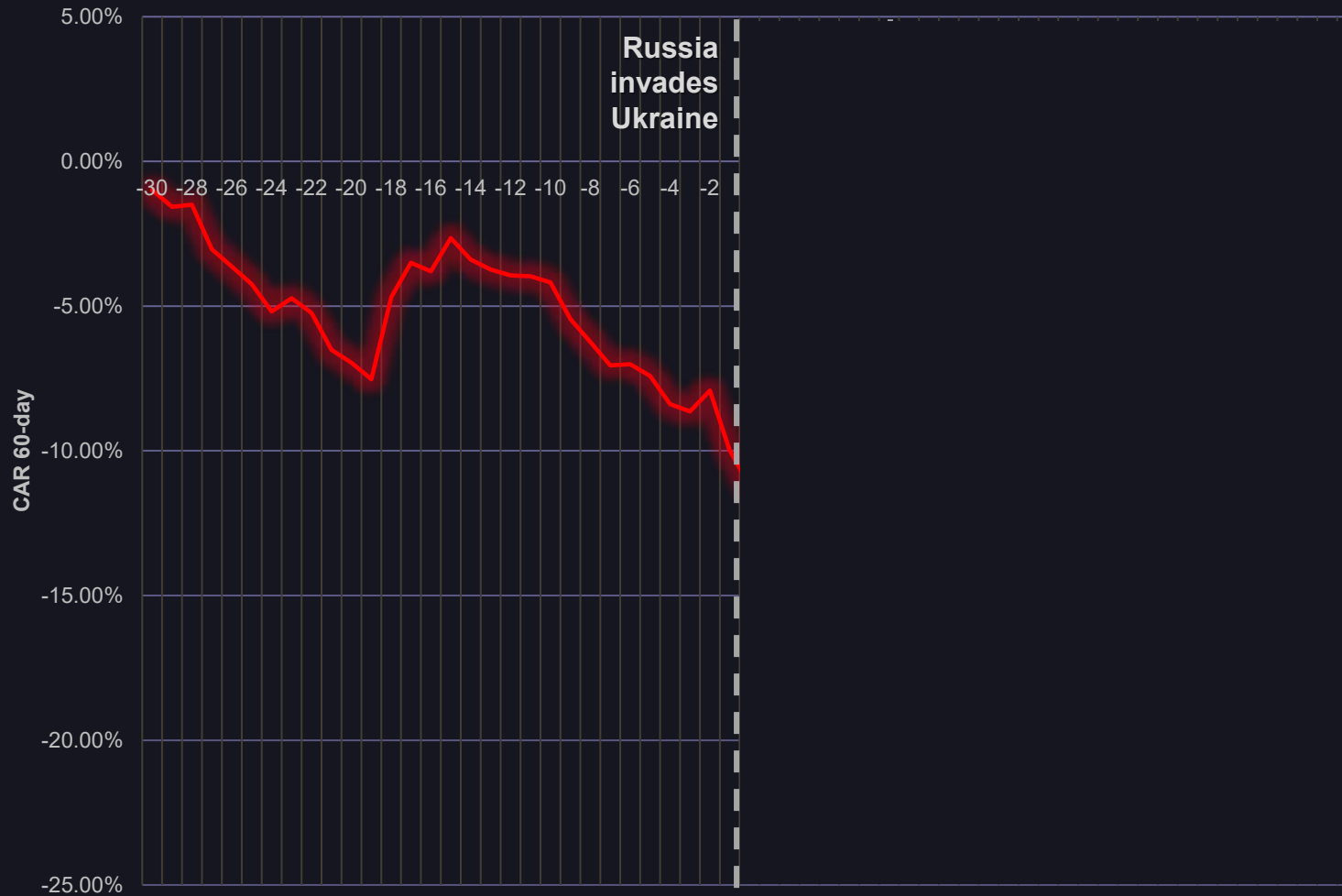
*“Historically, the biggest risks faced by foreign investors were in developing countries with immature or volatile political systems. The chief concern was ‘**expropriation risk**,’ the possibility that host governments would seize foreign-owned assets.”*

-- Henisz & Zelner (2010: 89).



McDonald's in Russia (CCCP) – Dealing with Political Risk

NYSE:MCD CAR 60-day - Russia invasion of Ukraine 2022



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's in Russia (CCCP) – Dealing with Political Risk

NYSE:MCD CAR 60-day - Russia invasion of Ukraine 2022



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's announces exit from Russia on March 8th, 2022. (2nd dashed line)

Oxford-Style Debate Rules

1. Motion: The debate is centered on a clear, debatable statement.

In this case: ***“McDonald’s should exit Russia after the start of the war in Ukraine.”***

2. Teams: Proposition (For the motion) and **Opposition** (Against the motion). Each team typically consists of **2–3 speakers**.

3. Speaking Format: Each speaker has a fixed time limit (e.g., **3-4 minutes**) to present their case.

4. Audience Q&A: Audience members may ask questions or raise challenges after the main speeches. Time-box this segment (e.g., **10 minutes**).

5. Closing Statements: Each team gives a **1-minute** closing summary to reinforce their position and respond to key points.

6. Voting: Conduct an **initial vote** before the debate (show of hands). Conduct a **final vote** after the debate. **The winner** is the team that **swayed more audience members** to their side.

7. Rules of Engagement: No interruptions during speeches. Respectful, evidence-based argumentation. Speakers may use written notes, but should avoid reading full scripts or AI responses.

McDonald's in Russia (CCCP) – Dealing with Political Risk

NYSE:MCD CAR 60-day - Russia invasion of Ukraine 2022

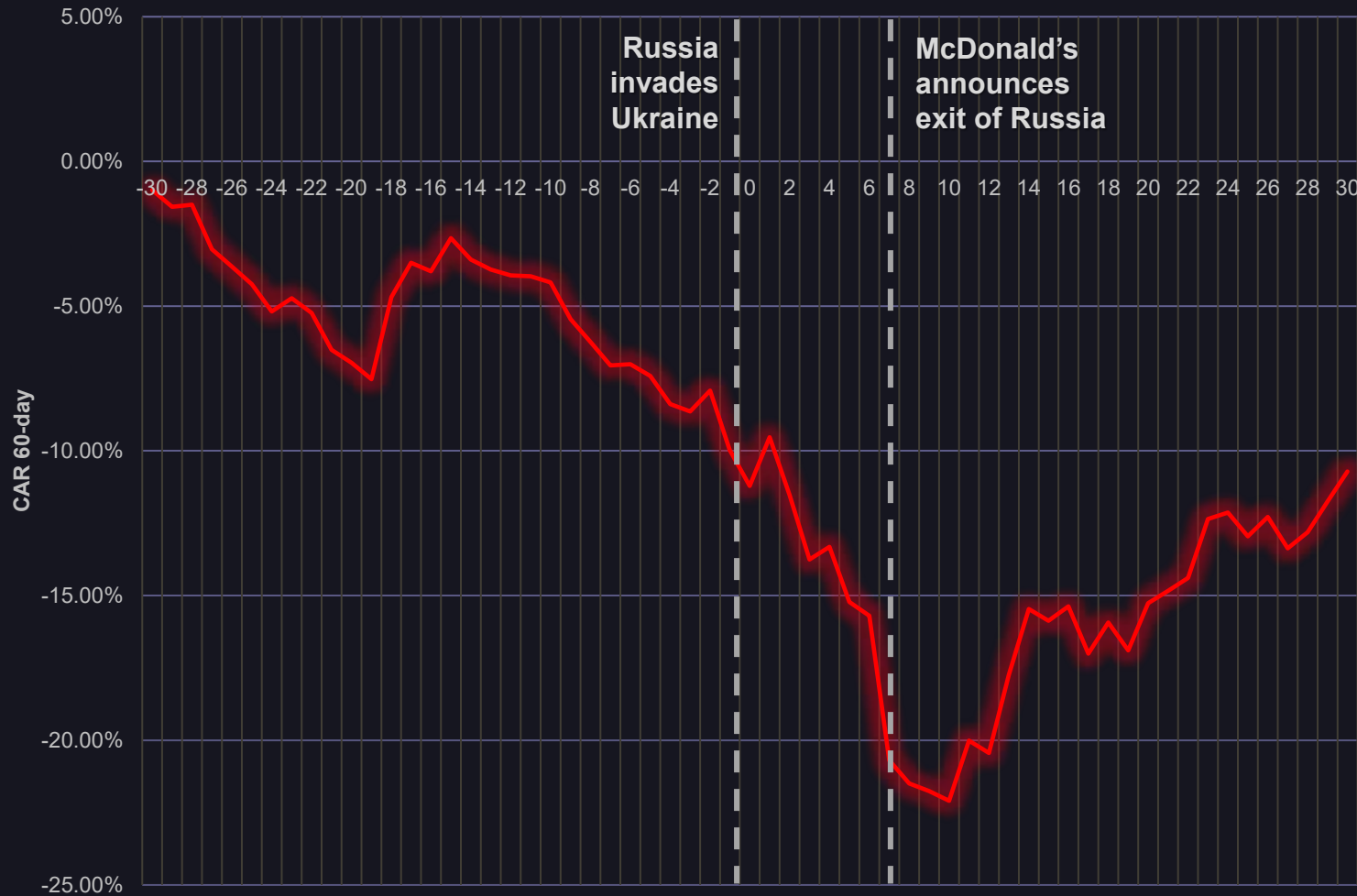


Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's announces exit from Russia on March 8th, 2022. (2nd dashed line)

McDonald's in Russia (CCCP) – Dealing with Political Risk

NYSE:MCD CAR 60-day - Russia invasion of Ukraine 2022



Russia invades Ukraine on February 24th, 2022. (1st dashed line)

McDonald's announces exit from Russia on March 8th, 2022. (2nd dashed line)

NYSE: MCD CAR 60-day

- Average: before -5.10% vs. between -13.87% vs. after -15.78%

Impact of Political Risk

- Continued paying employees
- “Sold” whole operation to local firm. “Asset expropriation.”
- Investment lost, at least in foreseeable future (15-year repurchase clause).
- Will it have the same quality?

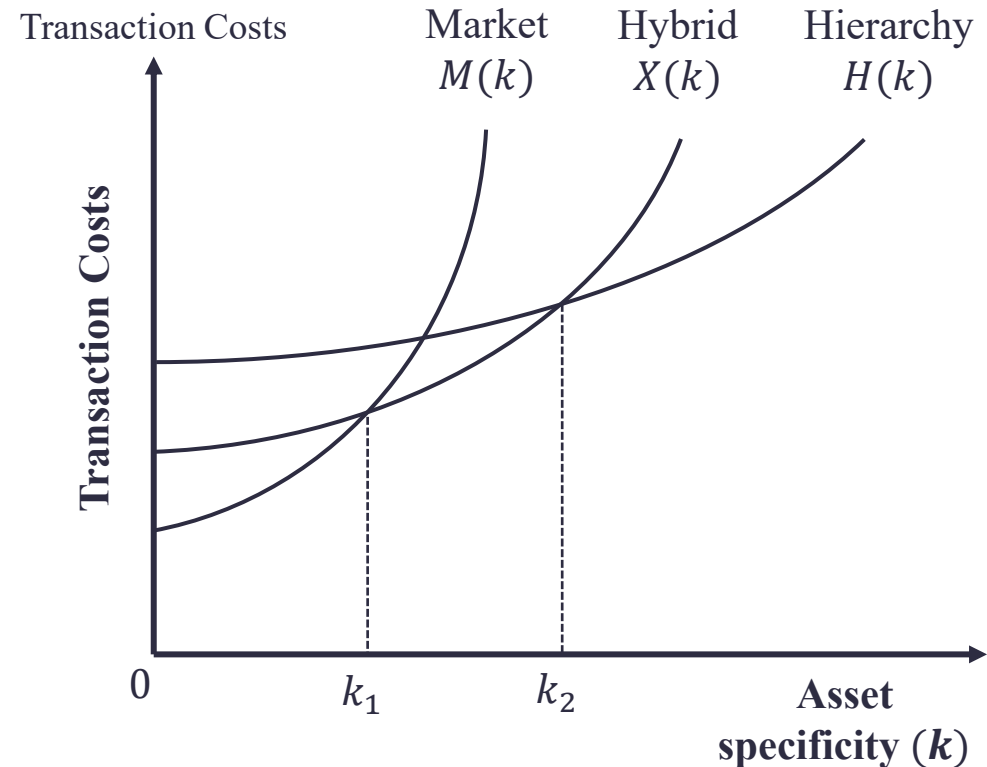
Recall: Transaction Cost Economics Framework

Three governance structures

- **Market $M(k)$:** import-export
- **Hybrid $X(k)$:** outsourcing contracts, licensing, franchising, alliances, joint-ventures
- **Hierarchy or Vertical Integration $H(k)$:** M&A, greenfield investments

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991).

**Helpful analyzing transaction risk,
But how about country risk?**

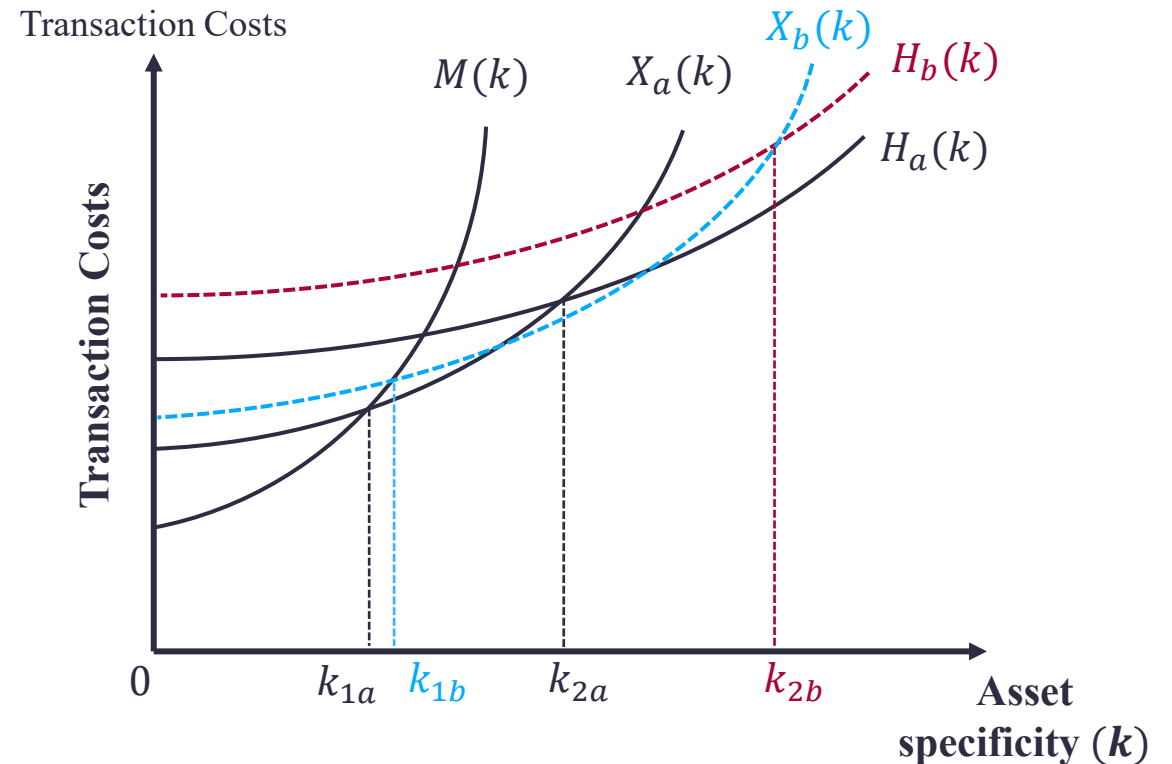
Political Risk increases contractual hazards, shifting curves

Political Risk increases contractual hazards
("expropriation risks")

- Shifts curves $H_a(k) \rightarrow H_b(k)$ and $X_a(k) \rightarrow X_b(k)$
 - **Reduces the attractiveness to partnering**
 - $k_{1a} \rightarrow k_{1b}$
 - **Reduces the attractiveness of vertical integration**
 - $k_{2a} \rightarrow k_{2b}$

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991) and Henisz & Williamson (1999).

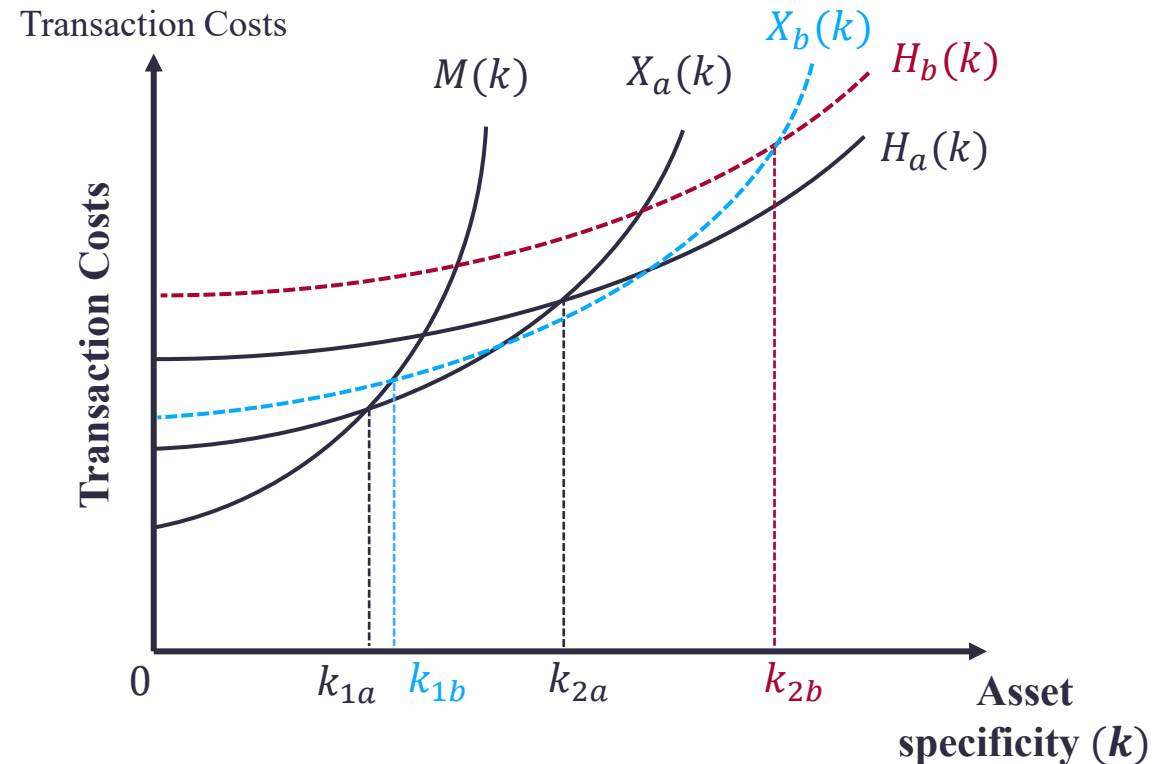
Political Risk increases contractual hazards, shifting curves

Political Risk increases contractual hazards
("expropriation risks")

- Shifts curves $H_a(k) \rightarrow H_b(k)$ and $X_a(k) \rightarrow X_b(k)$
 - **Reduces the attractiveness to partnering**
 - $k_{1a} \rightarrow k_{1b}$
 - **Reduces the attractiveness of vertical integration**
 - $k_{2a} \rightarrow k_{2b}$

Asset specificity (k) measures the potential risk of *hold-up* in case of **opportunism**. (Contractual Hazard)

Objective is to minimize Transaction Costs (lower level of curves possible)



Note: Williamson (1991) and Henisz & Williamson (1999).

Flashcards

Russia's Decree 693: 80 Companies Exit, \$107B Lost, Only 12.8% Fully Out

In 2025, 80 foreign companies exited Russia, but **the Kremlin accelerated forced seizures via Decree 693**. In January 2026, Danish Rockwool and Polish-American CanPack had assets transferred to Russian entities. Only 12.8% of international companies have fully exited. McDonald's sold 850 restaurants for a fraction of their value. *Vkusno i Tochka* now operates 1,000+ outlets and claims to outperform the original.

Sources: [KSE Institute \(Jan 2026\)](#) and [Vkusno i Tochka Guide \(2026\)](#)

Question: “Only 12.8% of foreign firms fully exited. What explains the difference? Why are 87% still there?”

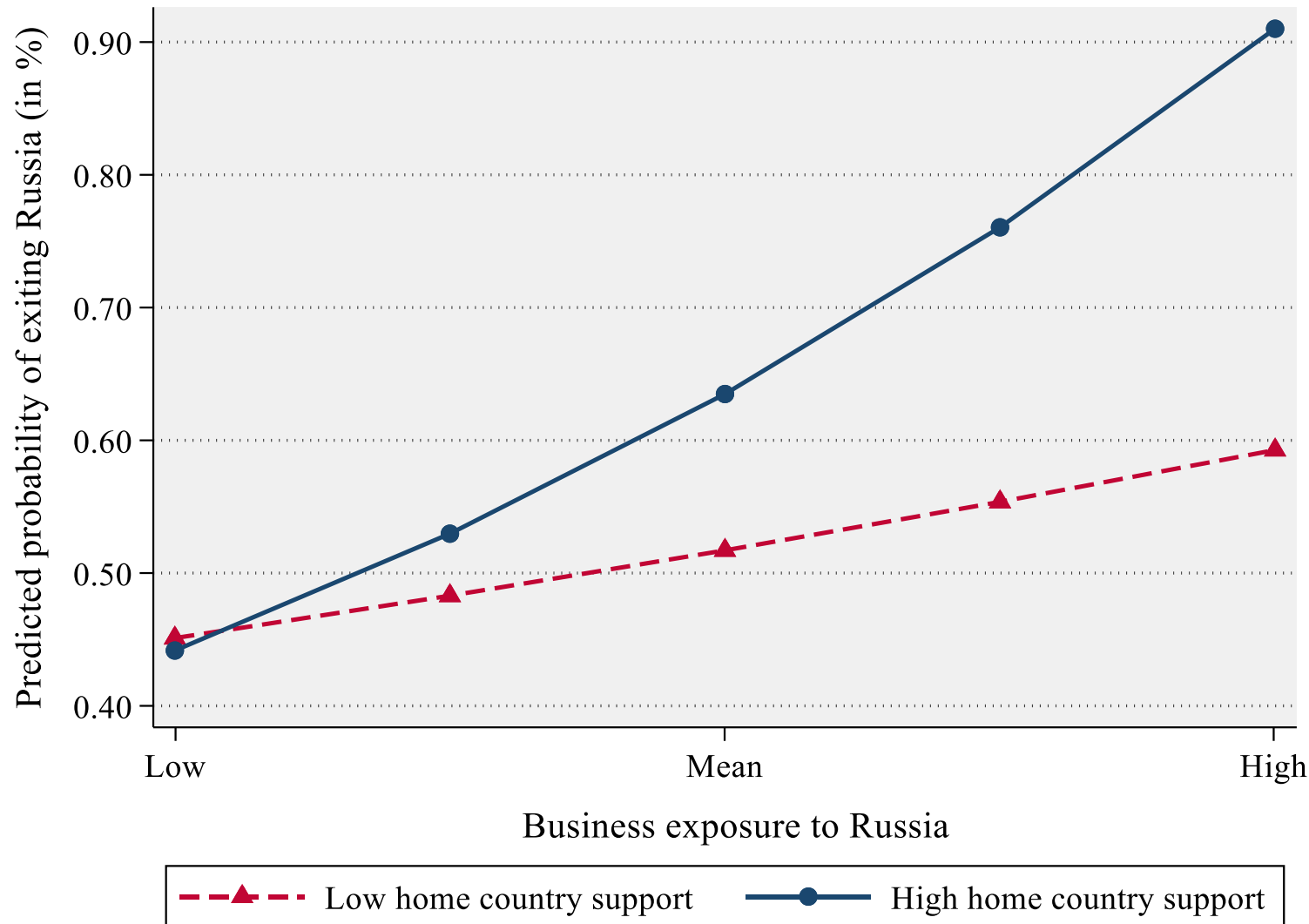
ANALYSIS

Political Risk, Distributive + Procedural: Russia is changing rules retroactively (procedural) and redistributing assets to regime-connected buyers (distributive). **Decree 693 is not random. It targets “unfriendly” countries.** This is *weaponized* formal institutions: legal infrastructure that looks like rule of law but is deployed selectively.

Institutional Voids Connection: Russia had functioning market institutions (capital markets, contract enforcement, property rights) that **regressed** under geopolitical pressure. This is the opposite of the usual narrative (emerging markets *developing* institutions). **Voids can be created, not just inherited.**

TCE, Sunk Costs: 87% of firms haven't exited because of massive asset specificity. Physical assets (factories, stores), relationship-specific investments (local suppliers, trained staff), and brand-specific capital are all trapped. **The hold-up problem writ large.**

Business Exposure and Western Firms' Decision to Exit Russia



Moderating Effect of Home Country Support for Ukraine on the Relationship between

~1.5 times more likely to exit when home country supports Ukraine.

Source: Wernicke and Vandepoede (2025, WP).



The background of the slide features a collage of national flags. From left to right, the visible flags are the Indian national flag (saffron, white, and green horizontal stripes with the Ashoka Chakra in the center), the Russian national flag (white, blue, and red horizontal stripes), the Chinese national flag (red field with five golden stars), and the Brazilian national flag (green field with a large yellow rhombus in the center containing a blue globe and the words 'ORDEN E PROGRESSO').

“Institutional Voids”

Lack of specialized intermediary firms and regulatory systems

- Political and Social System
- Openness (to FDI, foreign presence)
- Product Markets
- Labor Markets
- Capital Markets

Market Structure

- Competition
- Concentration
- Entry Barriers

The background of the slide features a collage of four national flags: India (saffron, white, and green horizontal stripes with the Ashoka Chakra), Russia (white, blue, and red horizontal stripes), China (red field with five golden stars), and Brazil (green field with a yellow rhombus and a blue globe).

“Institutional Voids”

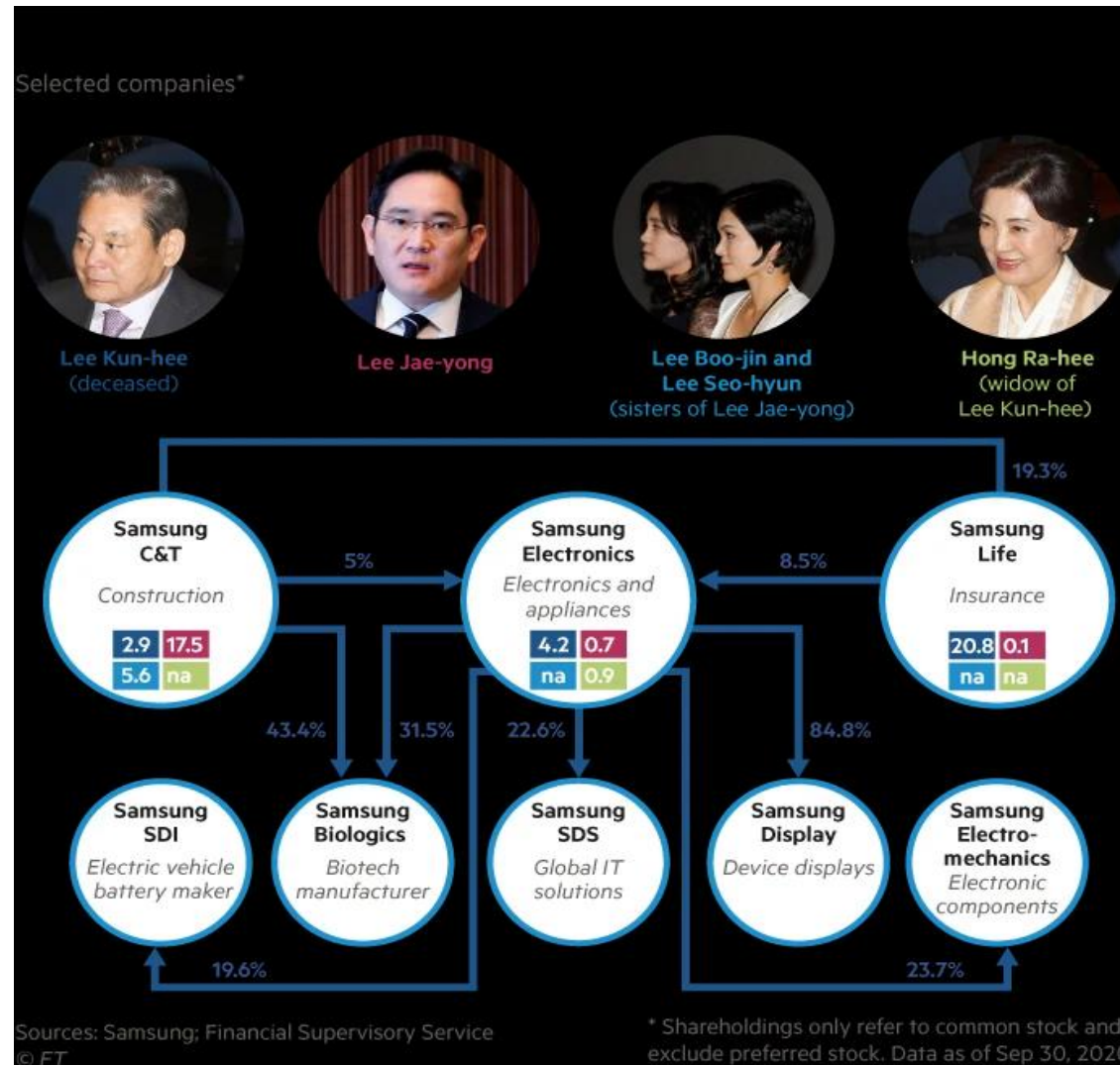
Lack of specialized intermediary firms and regulatory systems

- Political and Social System
- Openness (to FDI, foreign presence)
- Product Markets
- Labor Markets
- Capital Markets

MNCs can:

- Change the business model (adaptation and more)
- Change the local context
- Stay away (not engage)

In South Korea: *Chaebols*



Source: FT. Available at < <https://www.ft.com/content/8035a965-19fb-4b6f-88ca-d301073d0e38> >

In Mexico: *Grupos*

América Móvil: telecom.

Grupo Carso: heavy industry, services, retail, consumer goods.

Grupo Financiero Inbursa: bank, insurance.

Impulsora del Desarrollo y Empleo de América Latina:
construction and infrastructure.

Inmuebles Carso: real state.

Minera Frisco: mining – gold, silver, copper, zinc – and metallurgy.



Tata Motors: Why business groups are important to overcome “institutional voids”?

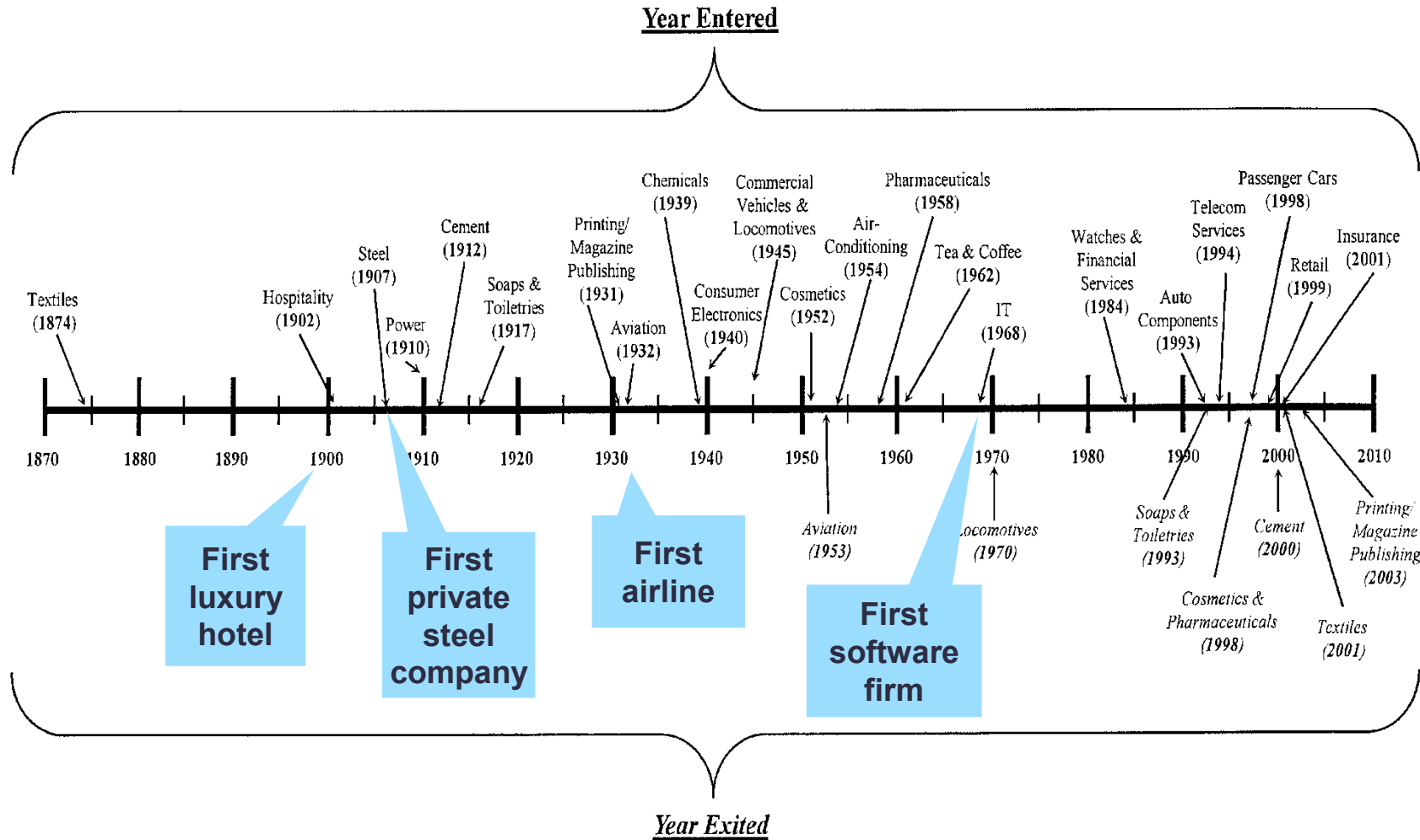
Tata Group:

Khanna, Palepu, & Bullock. “House of Tata: acquiring a global footprint,” HBS Case, 2008.



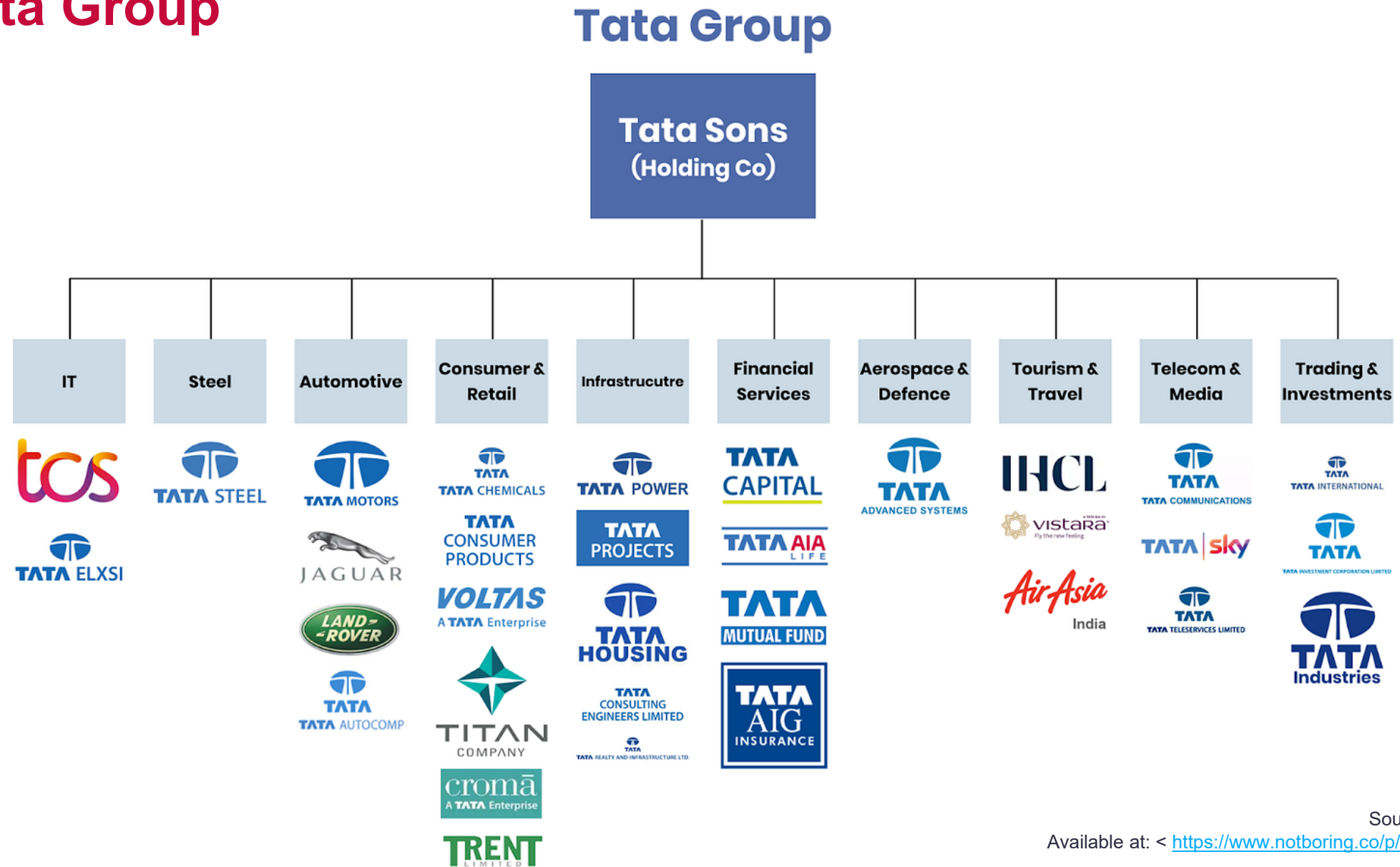
Origin and Evolution of the Group

House of Tata, 1870-2003



Source: Khanna et al. (2008).

Tata Group



Source: "NotBoring.co.
Available at: < <https://www.notboring.co/p/transforming-tata> >

“Every company in the TATA Group impacts others in the group because we are one family, although every company is independent. But we do influence each other, and we also learn from each other.”

***-- Ravi Arora,
Tata's VP of Innovation***



Tata Stocks and Bombay Stock Exchange Index - Correlations

#	Company (Index)	Mean	SD	Min	Max	1	2	3	4	5	6	7
1	TATA Motors	3.42	2.31	0.24	9.74	1.00						
2	TATA Consumer Products	2.82	2.33	0.31	11.99	0.24	1.00					
3	TATA Consultancy Services (TCS)	17.09	12.20	2.15	54.13	0.27	0.89	1.00				
4	Indian Hotels Co.	1.39	0.75	0.20	3.72	0.48	0.41	0.19	1.00			
5	TATA Steel	7.28	4.57	0.95	22.61	0.40	0.47	0.13	0.81	1.00		
6	TATA Power	1.27	0.86	0.10	3.99	0.49	0.28	-0.06	0.67	0.85	1.00	
7	TATA Chemicals	2.95	2.52	0.31	14.70	0.47	0.94	0.83	0.63	0.68	0.56	1.0
8	Bombay Stock Exchange: SENSEX Index	19679.91	14402.22	2600.12	61765.59	0.56	0.89	0.98	0.58	0.49	0.41	0.90

Note: All pairwise correlations sig at $p < 0.0001$

**From the 1990s and on:
strong desire to *internationalize*!**

(How) does Tata add value as a group?

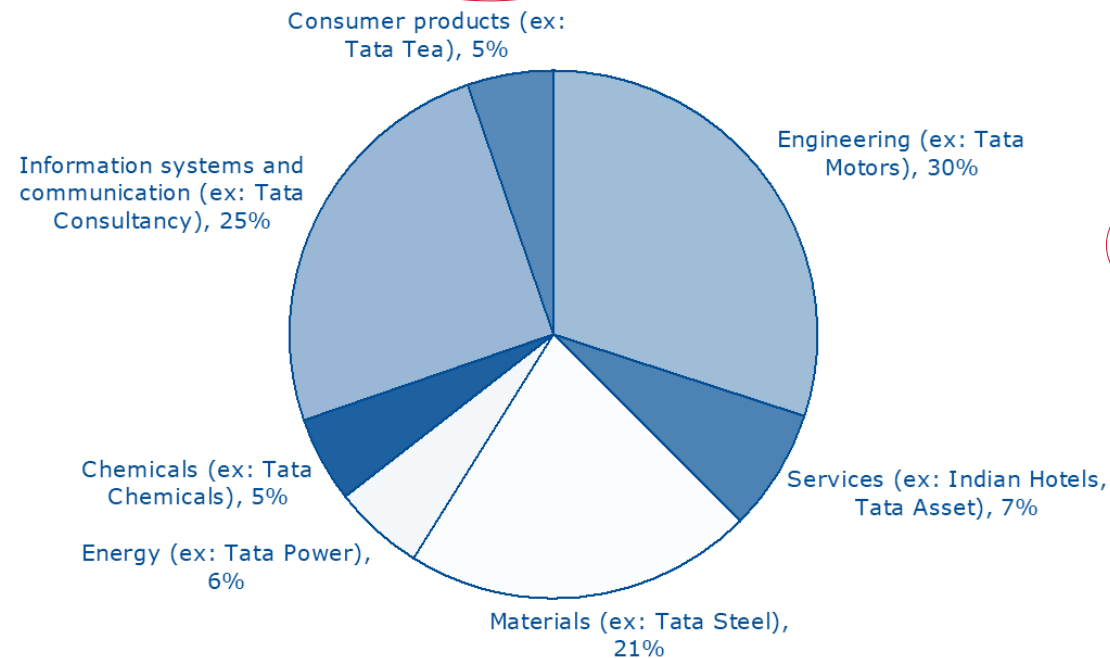
Shareholders/control

Tata Sons

Group Corporate Center

Group Executive Office

- Strategic formulation
- Monitoring/control (preserving the decentralized execution of the business units)
- Shared resources (brand name, human capital,...)
- Internal capital/funding



Promoter of new ventures

Tata Industries

Source: Khanna et al. (2008). Percentages refer to the participation of each segment in the group's revenues (2007).

Tata Motors

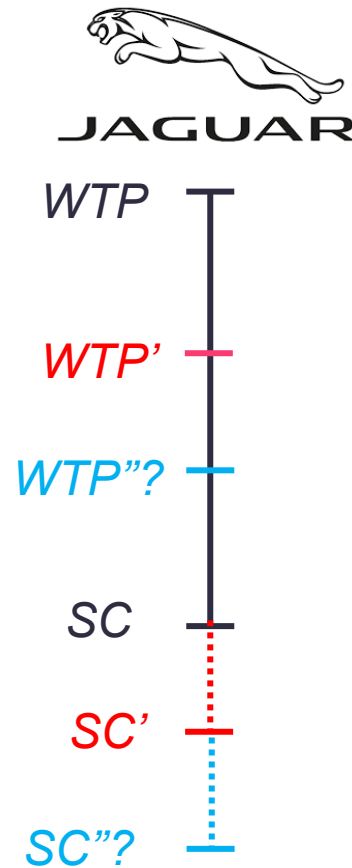
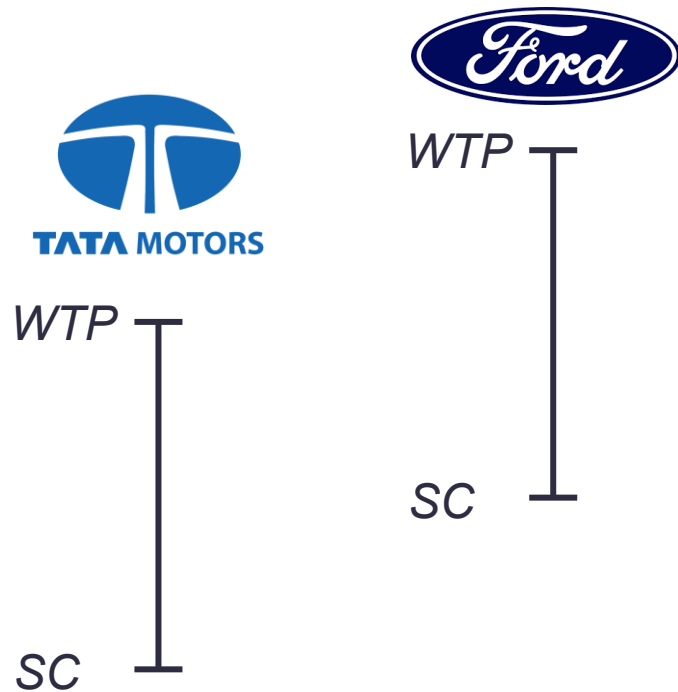




**Acquisition of Jaguar and Land Rover
(\$1-\$2 Bn)...Is it a good Idea?**

Remember Positioning: Ford, Jaguar, and now Tata Motors

Is it a good idea??



- Ford bought Jaguar for **\$2.4Bn** in 1989 and Land Rover for **\$2.7Bn** in 2000
- Basic plan: making it profitable with **cost efficiencies**

Ford Mondeo



Jaguar X-Type



BBC: "Ford has turned a sleek cat into a groggy moggy. It's all a bit sad."



THE FATE OF JAGUAR & LAND ROVER





Acquisition of Jaguar and Land Rover (\$1-\$2 Bn)...

... Is it a good Idea?

PROS

- New capabilities and distribution channels in high-end markets.
- If JLR are not doing well under Ford, perhaps Tata can do better?
- Will reinforce the internationalization strategy of the group.
- Tata already has experience in global acquisitions.
- Symbolic move: Acquisition of a jewel of the UK crown

CONS

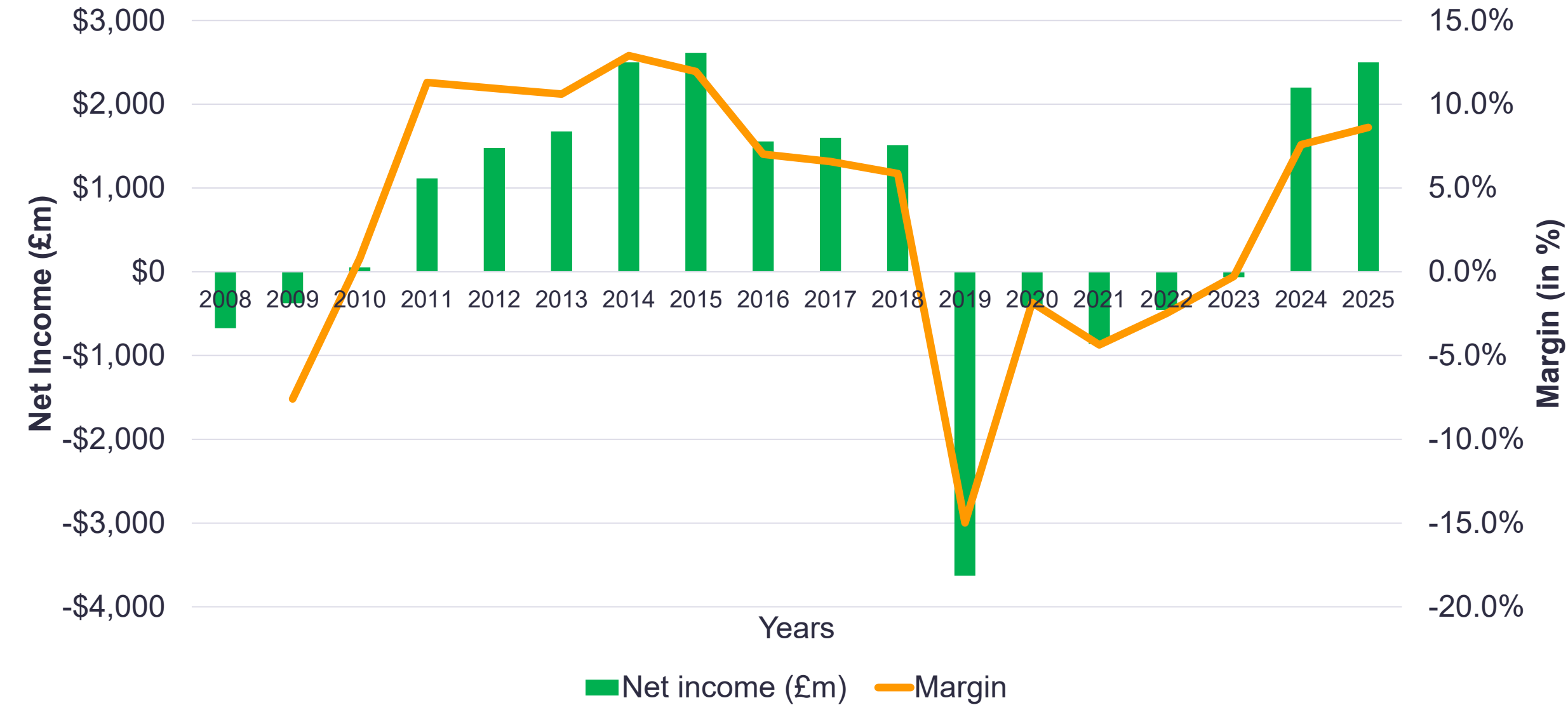
- Potential bidding war? (private equity funds, Mahindra & Mahindra).
- Luxury brands are not necessarily consistent with Tata's original positioning (commercial vehicles, bottom-of-the-pyramid).
- Tata was already highly leveraged (debt/equity ratio ~95%).
- Can the group fund the massive required investment? What are the opportunity costs?

What Happened Next?

- March 2008: Tata Motors buys Jaguar Land Rover (JLR) for \$2.3 bn.
 - JLR's David Smith remained as CEO after the deal.
 - JLR expected to contribute to more than half of Tata Motors' revenues.
- March 2009: Nano is launched, but production was behind schedule.
- By 2009: Financial crisis. Tata faces a funding gap of around \$3 bn (greatly due to loans issues to fund JLR's acquisition). Tata Motors' sales down 22%.
- By early 2012: Nano with mediocre sales due to poor marketing and technical problems (e.g., engine fires). Production ceased in 2018.
- JLR became a very profitable unit. Strong sales in China and the USA.

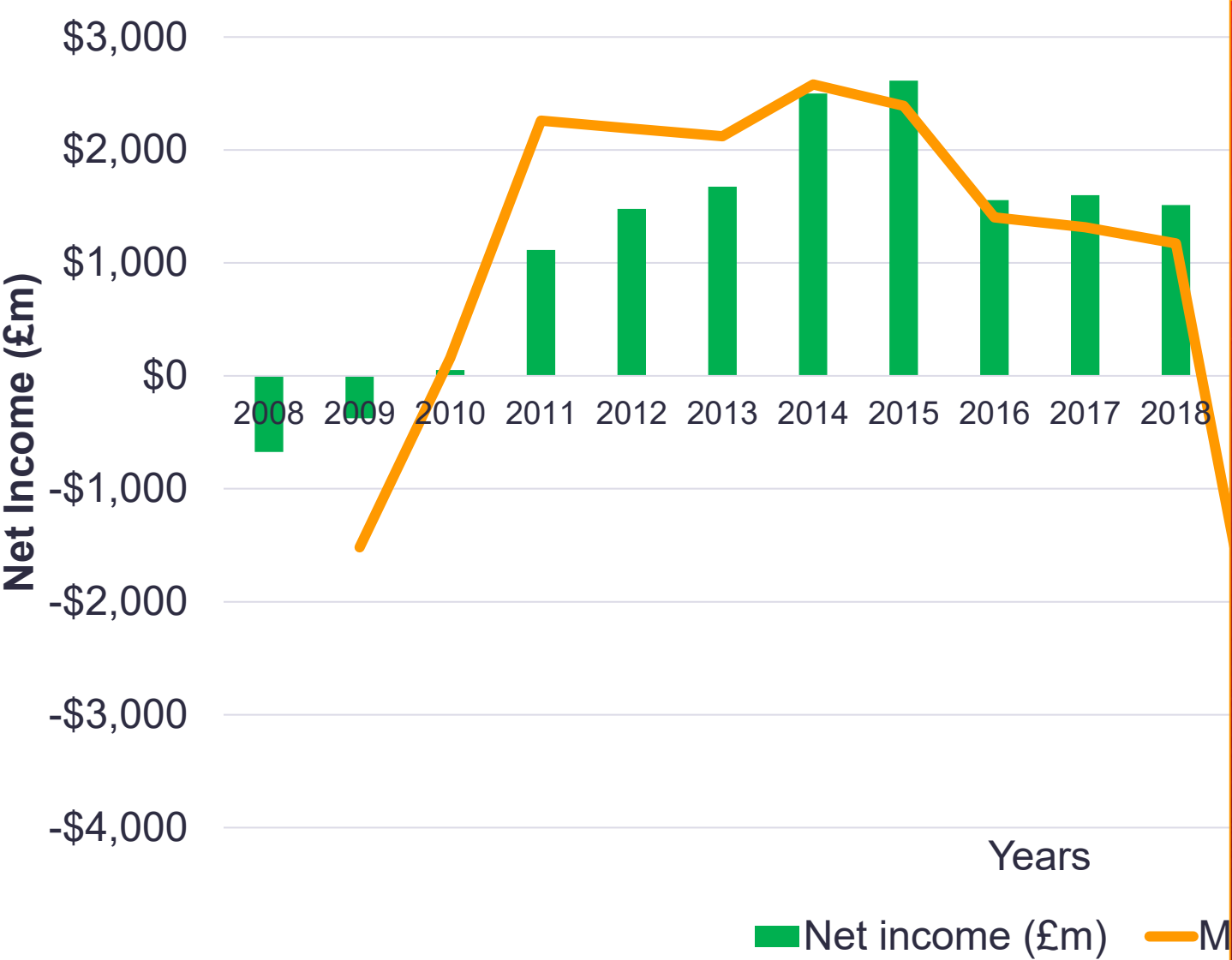


Jaguar Land Rover Automotive: Financial Performance



Source: Motor Authority, Statista, Wikipedia and JLR Annual Reports (Year ending 31 March YYYY).

Jaguar Land Rover Automotive: Financial Performance



Source: Motor Authority, Statista, Wikipedia and JLR Annual Rep



**LAND
-ROVER**

**CYBERATTACK CRIPPLES JLR
WHAT REALLY HAPPENED?**

Flashcards

JLR Cyberattack Devastates Tata Motors: Stock -28%, Margin from 5-7% to 0-2%, Negative Free Cash Flow

The August 2025 cyberattack on JLR halted production for 5 weeks. Direct costs: £196M (\$258M). Tata Motors Q2 FY26 swung to a loss of Rs54.62B. JLR margin forecast slashed from 5–7% to 0–2%. **Free cash flow turned negative (£2.2–2.5B). Tata Motors stock fell 28% over the year** to ~Rs297, far underperforming the Nifty 50's 5% decline. JLR wholesale volumes collapsed 43% YoY in Q3 FY26. Recovery began in Q4: volumes surged 61% QoQ to 95,300 units, but full-year sales still declined 17.8%.

Sources: [Just Auto \(Feb 2026\)](#), [The Register \(Jan 2026\)](#), and [Business Standard \(Apr 2026\)](#)

Question: “How the Business Group structure can help or hurt in a situation like this?”

ANALYSIS

Systemic Risk, Cyber Domain: Cyberattacks are not traditionally classified as “political risk,” but the framework applies. This is a systemic disruption that altered the expected value of Tata’s investment, came from external actors, and was impossible to predict precisely. The UK classifying it as a “systemic cyber event” reinforces the parallel to geopolitical shocks.

Business Group Resilience: The broader Tata Group demonstrates the **diversification logic**. While Tata Motors suffered, TCS remained India’s most valuable company, Indian Hotels performed strongly, and Tata Steel held steady. **The group is resilient even if one subsidiary is not.** This is precisely Khanna & Palepu’s argument: the group’s internal capital market can absorb shocks that would destroy an independent firm.

The Two Faces of Business Groups

Positive and Negative Implications



Positive View: Groups Help Address “Institutional Voids”

How Business Groups Can Help

(Khanna & Palepu, *HBR* 1997)

- | | | |
|--|--|--|
| 1. Inefficient capital markets ; scarce, costly, and with poor protection of investments. |  | Close monitoring of businesses; provision of internal capital; creation of new enterprises |
| 2. Rigid and incipient labor markets : scarcity of skilled people. |  | Creating and developing internal talent; internally managing and shifting people within the group. |
| 3. Local tastes and need of reliable mechanisms of customer protection in product markets . |  | Local knowledge and reputation: private regulation of quality (“umbrella” brand name and internal quality practices) |
| 4. Inefficient legal system and weak contractual enforcement (macro context). |  | Group reputation; management of contractual agreements and partnerships. |

Negative Views on Business Groups

- Groups tend to consolidate domestic industries and **increase market concentration**.
- Groups participate in multiple, **overlapping sectors**:
 - Reduced incentives to aggressively compete against each other.
- Groups develop specific **capabilities to deal with governments and politicians**
 - Potential for corruption and incentives to diversify into highly regulated sectors.
- Groups are usually involved in **governance conflicts (ownership “pyramids”)**.

Key Takeaways

- How should we go? **Transaction Cost Economics (TCE) Framework.**
 - Country risk
 - Political Risk might shift governance curves given the increase in contractual hazards associated with “asset expropriation” risk.
 - Institutional Voids and Business Groups
 - Institutional voids impose difficulties in operations in emerging markets. Firms can act in a countercyclical way.
 - At the same time, institutional voids foster the development of business groups, which act as a way to overcome these voids and reach a competitive position internally and internationally.

Next Class

- How should we go? **Stakeholder Management Framework**
 - Inclusive innovation, Climate change, and Stakeholder Management

Looking Ahead: Stakeholders

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - “Amazon Case Study: Natura’s Supply Chain.” Americas Quarterly. May 12th, 2021.
 - Natura: Dirk Boehe; Leandro Pongeluppe; Sérgio Lazzarini. “Natura and the development of a sustainable supply chain in the Amazon region.” Insper Case, 2013.
 - Podcast (listen before class) “The Simple Economics of Saving the Amazon Rain Forest” (Freakonomics Podcast, Episode 428). Click [here](#) to listen.

QUESTIONS

- *In your opinion, what are the key global problems business leaders can help solve?*
- *In which sense is the Amazon Rainforest conservation a market failure problem?*
- *What are the key strategies Natura used in its Amazonian supply-chain that help to overcome this failure and benefit the company?*



Thank you.

Leo Pongeluppe

pongelup@wharton.upenn.edu



Wharton
UNIVERSITY *of* PENNSYLVANIA